Describe Microsoft Entra

Completed 100 XP

Microsoft Entra is Microsoft's family of identity and network access products. As organizations adopt Zero Trust security models, they need solutions that go beyond basic authentication to cover identity governance, verified credentials, secure network access, and identities for AI agents. In this unit, you explore the Microsoft Entra product family and how these products work together to secure end-to-end access for employees, customers, partners, workloads, and AI agents across any cloud environment.

The Microsoft Entra family is organized around the access scenarios it secures.

Category	What it covers
Establish Zero Trust access controls	Foundational identity, authentication, and managed domain services
Secure access for employees	Identity governance, identity protection, secure network access, and verified credentials
Secure access for customers and partners	External collaboration and customer identity and access management (CIAM)
Secure access in any cloud	Identities for applications, services, and workloads
Secure access for AI agents	Identity, governance, and protection for nonhuman AI agent identities

Understand the Microsoft Entra product family

Each category in the Microsoft Entra family maps to a specific access scenario that organizations commonly face. The following sections describe the key products in each category and what they do.

Establish Zero Trust access controls

Microsoft Entra ID is the foundational product of the family. It's a cloud-based identity and access management service that provides authentication, single sign-on (SSO), policy enforcement, and protection for users, devices, apps, and resources. If your

organization uses Microsoft 365, Azure, or Dynamics CRM Online, you're already using Microsoft Entra ID. Every tenant of those services is automatically a Microsoft Entra tenant, with an initial domain name like `contoso.onmicrosoft.com`. Organizations can also add their own custom domain names.

Microsoft Entra Domain Services provides managed domain services for organizations that run older applications in the cloud that require traditional Windows Server Active Directory features. It lets those applications work in the cloud without needing to deploy and manage domain controllers. Microsoft manages the underlying infrastructure, so organizations don't have to.

Secure access for employees

This category groups the products most organizations use to govern, protect, and connect their workforce.

Microsoft Entra Private Access secures access to private apps and resources, including corporate networks and multicloud environments. Remote users can connect to internal resources from any device or network without a virtual private network (VPN). For example, an employee can securely reach a corporate network printer while working from home or a cafe.

Microsoft Entra Internet Access secures access to internet resources, including software as a service (SaaS) apps and Microsoft 365 apps and resources. Administrators can enable web content filtering to regulate access to websites based on content categories and domain names.

Microsoft Entra ID Governance simplifies identity and permissions management by automating access requests, assignments, and reviews. It also helps protect critical assets through identity lifecycle management. For example, administrators can automatically assign user accounts, groups, and licenses to new employees and remove those assignments when employees leave.

Microsoft Entra ID Protection detects and reports identity-based risks, such as risky users and risky sign-ins. Administrators can investigate and automatically remediate risks using tools like risk-based Conditional Access policies. A common scenario is a policy that requires multifactor authentication (MFA) when the sign-in risk level is medium or high.

Microsoft Entra Verified ID is a credential verification service based on open decentralized identity (DID) standards. Organizations can issue verifiable credentials—digital signatures that prove the validity of information—to users, who store the credentials on their personal devices and present them when needed. For example, a recent college graduate can ask their university to issue a digital diploma to their DID, then present it to a potential employer who can independently verify the issuer, issuance time, and status.

Secure access for customers and partners

Microsoft Entra External ID lets external identities safely access business resources and consumer apps. It provides secure methods for collaborating with business partners and guests on internal apps, and for managing customer identity and access management (CIAM) in consumer-facing applications. For example, an organization can set up self-service registration so customers sign in to a web application using one-time passcodes or social accounts from providers like Google or Facebook.

Secure access in any cloud

Microsoft Entra Workload ID is the identity and access management solution for workload identities—applications, services, and containers that need authentication and authorization policies. It lets organizations secure access to resources using adaptive policies and custom security attributes. For example, GitHub Actions need a workload identity to access Azure subscriptions and run software development workflows.

Secure access for AI agents

Microsoft Entra Agent ID is an identity and security framework that extends Microsoft Entra capabilities to AI agents. As organizations deploy assistive, autonomous, and user-like agents, Agent ID provides purpose-built identity constructs to authenticate, authorize, govern, and protect these nonhuman identities at enterprise scale. For example, when an organization deploys AI agents that access corporate data on behalf of users, Agent ID gives each agent a governed identity, enforces least-privilege access, and maintains an audit trail of the agent's actions.

How Microsoft Entra products work together

The strength of the Microsoft Entra family is how its products integrate. Consider a scenario where a new employee joins your organization:

1. **Microsoft Entra ID** authenticates the employee and provides single sign-on to corporate apps.
2. **Microsoft Entra ID Governance** automatically provisions the right access based on the employee's role.
3. **Microsoft Entra ID Protection** evaluates each sign-in for risk and triggers stronger authentication when needed.
4. **Microsoft Entra Internet Access** secures the employee's connection to cloud and internet resources.
5. **Microsoft Entra Private Access** provides secure access to on-premises apps without a VPN.

This integrated approach reduces the security gaps that occur when organizations use disconnected tools for identity and network access management.

Microsoft Entra licensing

Each product in the Microsoft Entra family can be used independently, but the products deliver the most value when used together as part of a comprehensive identity and access strategy. Microsoft Entra ID is available in several licensing tiers, and additional products can be added or bundled depending on an organization's needs:

Microsoft Entra ID Free — Included with Microsoft cloud subscriptions such as Microsoft Azure and Microsoft 365. Provides core identity capabilities including user and group management, basic reporting, and self-service password reset.

Microsoft Entra ID P1 — Adds capabilities such as Conditional Access, hybrid identity support, and advanced group features. Included with Microsoft 365 E3, F1, F3, Enterprise Mobility + Security E3, and Microsoft 365 Business Premium.

Microsoft Entra ID P2 — Adds risk-based Conditional Access, Microsoft Entra ID Protection, and Privileged Identity Management (PIM). Included with Microsoft 365 E5 and Enterprise Mobility + Security E5.

Microsoft Entra Suite — A bundled license that combines five Entra products under a single offering, designed for organizations that want comprehensive

identity and network access protection. A Microsoft Entra ID P1 subscription is required. The suite includes Microsoft Entra Private Access, Microsoft Entra Internet Access, Microsoft Entra ID Governance, Microsoft Entra ID Protection, and premium capabilities of Microsoft Entra Verified ID.

Microsoft Entra also integrates with Security Copilot to help administrators investigate identity risks and troubleshoot access issues using AI.

Microsoft Entra admin center

Administrators configure and manage all Microsoft Entra products from a single web-based portal called the **Microsoft Entra admin center**.

Now that you have a high-level understanding of the Microsoft Entra product family, the rest of this module focuses on Microsoft Entra ID—the foundational product of the family. You learn about its core functions, the identity types it supports, the concept of hybrid identity, and how external identities work.

Describe Microsoft Entra ID

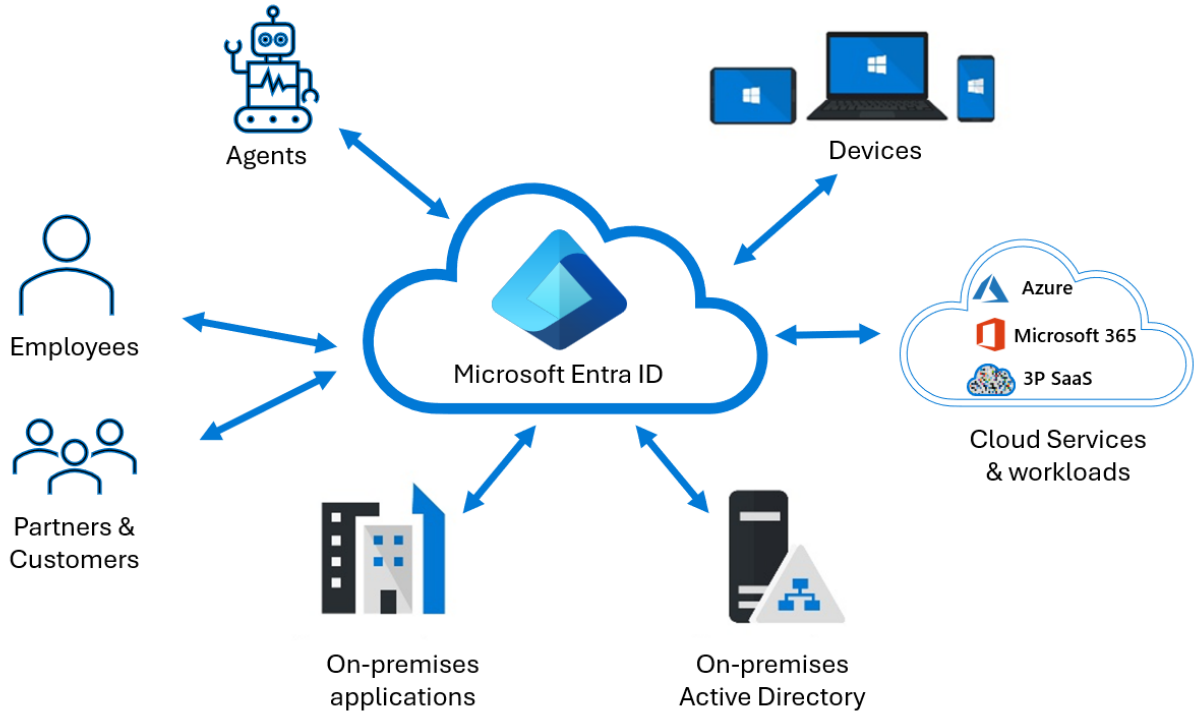
Completed100 XP

Microsoft Entra ID is Microsoft's cloud-based identity and access management service. Organizations use Microsoft Entra ID to enable their employees, guests, workloads, and AI agents to sign in and access the resources they need, including:

- Internal resources, such as apps on your corporate network and intranet, and cloud apps developed by your own organization.
- External services, such as Microsoft 365, the Azure portal, and any SaaS applications used by your organization.

Microsoft Entra ID simplifies the way organizations manage authorization and access by providing a single identity system for their cloud and on-premises applications. Microsoft Entra ID can be synchronized with your existing on-premises Active Directory, synchronized with other directory services, or used as a standalone service.

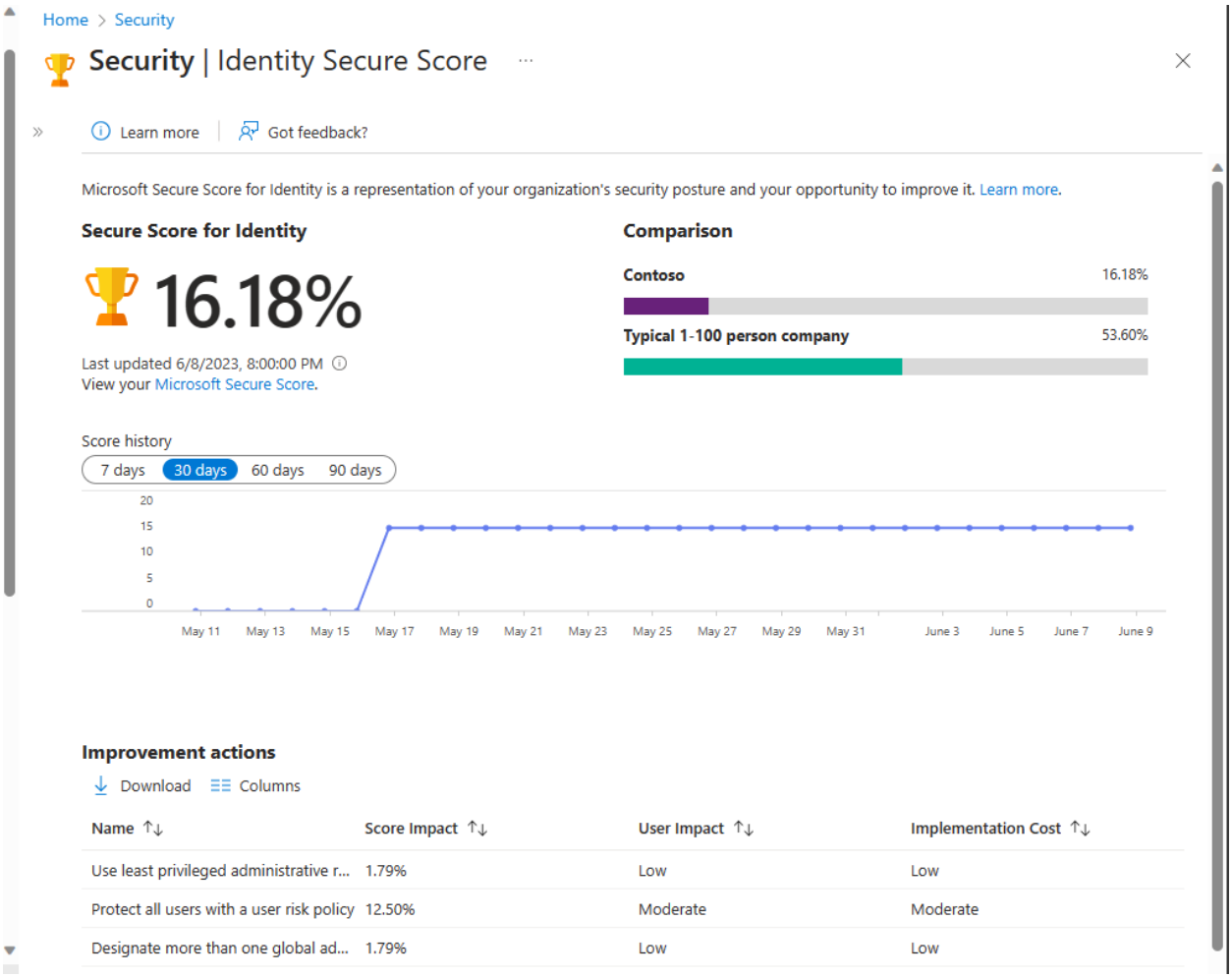
Microsoft Entra ID also allows organizations to securely enable the use of personal devices, such as mobiles and tablets, and enable collaboration with business partners and customers.



Identity Secure Score

Microsoft Entra ID includes an identity secure score, which is a percentage that functions as an indicator for how aligned you are with Microsoft's best practice recommendations for security. Each improvement action in identity secure score is tailored to your specific configuration.

Identity secure score, which is available in all editions of Microsoft Entra ID, helps you to objectively measure your identity security posture, plan identity security improvements, and review the success of your improvements.



Basic terminology

When talking about Microsoft Entra ID, there's some basic terminology that's important to understand.

> ***Tenant*** - A Microsoft Entra tenant is an instance of Microsoft Entra ID in which information about a single organization resides including organizational objects such as users, groups, devices, and application registrations. A tenant also contains access and compliance policies for resources, such as applications registered in the directory. Each Microsoft Entra tenant has a unique ID (tenant ID) and a domain name (for example, contoso.onmicrosoft.com) and serves as a security and administrative boundary, allowing the organization to manage and control access to resources, applications, devices, and services.

Directory - The terms Microsoft Entra directory and Microsoft Entra tenant are often used interchangeably. The directory is a logical container within a Microsoft Entra tenant that holds and organizes the various resources and objects related to identity and access management including users, groups, applications, devices, and other directory objects. Basically, the directory is like a database or catalog of identities and resources associated with an organization's tenant. A Microsoft Entra tenant consists of only one directory.

Multi-tenant - A multitenant organization is an organization that has more than one instance of Microsoft Entra ID. Reasons why an organization might have multiple tenants include organizations with multiple subsidiaries or business units that operate independently, organizations that merge or acquire companies, multiple geographical boundaries with various residency regulations, and more.

Who uses Microsoft Entra ID?

Microsoft Entra ID is used by IT admins to control access to corporate apps and resources, based on business requirements. For example, Microsoft Entra ID can also be set up to require multifactor authentication when accessing important organizational resources. It provides powerful tools to automatically help protect user identities and credentials and to meet an organization’s access governance requirements.

Developers use Microsoft Entra ID as a standards-based approach for adding single sign-on (SSO) to their apps, so that users can sign in with their preexisting credentials. Microsoft Entra ID also provides application programming interfaces (APIs) that allow developers to build personalized app experiences using existing organizational data.

Subscribers to Azure services, Microsoft 365, or Dynamics 365 automatically have access to Microsoft Entra ID. Users of these services can take advantage of included services and can also enhance their Microsoft Entra implementation by upgrading to premium licenses.

Microsoft Entra ID and AI

As assistive and autonomous agents become more prevalent in enterprise environments, Microsoft Entra ID extends its identity capabilities through Microsoft

Entra Agent ID. Microsoft Entra Agent ID is an identity and security framework that provides purpose-built identity constructs to authenticate, authorize, govern, and protect agent identities at enterprise scale. Organizations can enforce conditional access policies, detect risks in real time, manage agent lifecycles, and apply network-level controls, ensuring that AI agents follow Zero Trust principles just like human and workload identities.

Describe types of identities

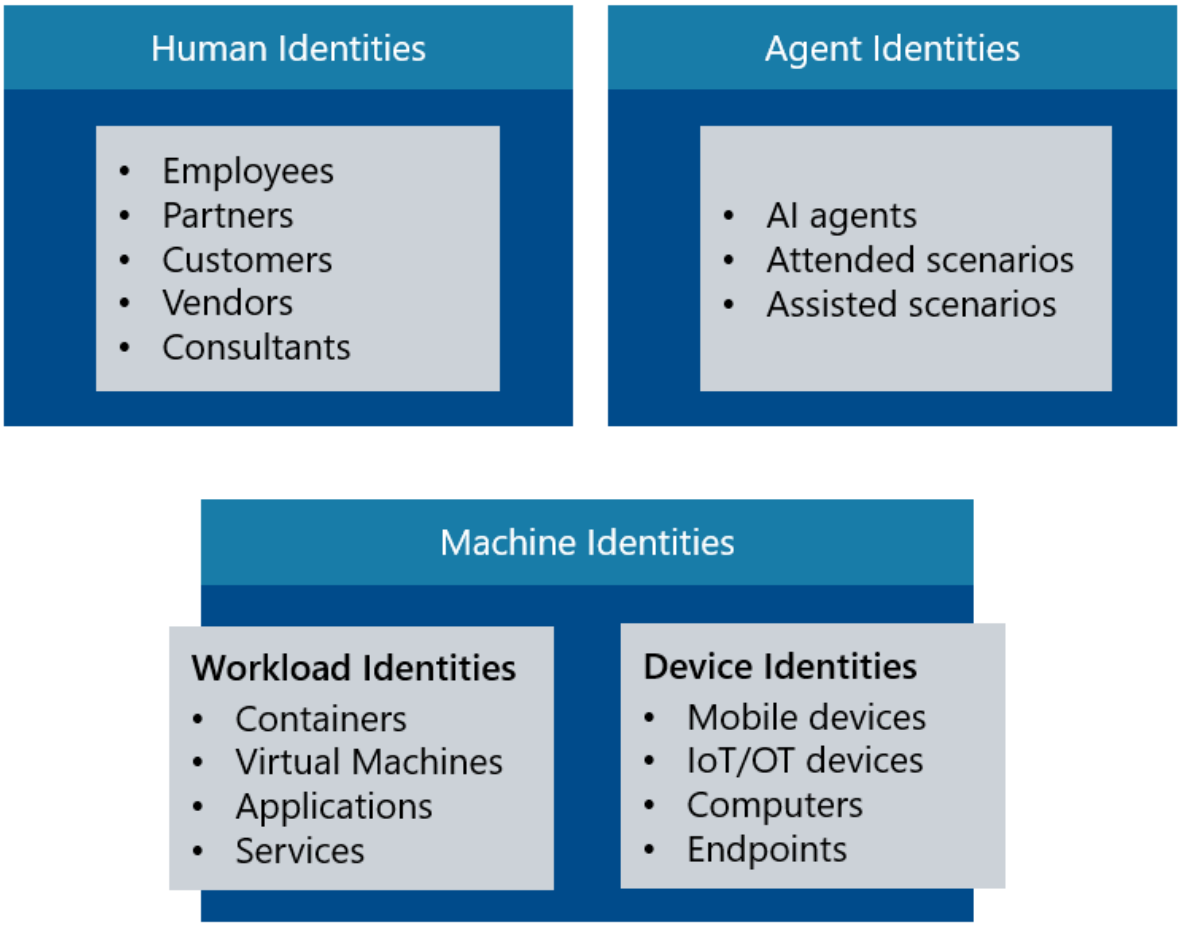
Completed 100 XP

20 minutes

In Microsoft Entra ID, there are different types of identities that are supported. The terms you're introduced in this unit are user identities, workload identities, device identities, external identities, and hybrid identities.

When you ask the question, to what can I assign an identity in Microsoft Entra ID, there are three categories.

- You can assign identities to people (humans), referred to as user identities.
- You can assign identities to physical devices, such as mobile phones, desktop computers, and IoT devices.
- You can assign identities to software-based objects, such as applications, virtual machines, services, and containers. These types of identities are referred to as workload identities.



In this unit, we consider each type of Microsoft Entra identity.

User

User identities represent people such as employees and external users (customers, consultants, vendors, and partners). In Microsoft Entra ID, user identities are characterized by how they authenticate and the user type property.

How the user authenticates relative to the host organization's Microsoft Entra tenant can be internal or external. Internal authentication means the user has an account on the host organization's Microsoft Entra ID. External authentication means the user authenticates using an external Microsoft Entra account, a social network identity, or other external identity provider.

The user type property describes the user's relationship to the host organization's tenancy. The user can be a guest or a member of the organization's Microsoft Entra tenant. By default, guests have limited privileges relative to members.

		UserType property	
		Guest	**Member**
How the user authenticates	External 	External guest Uses an external Microsoft Entra ID account, social identity, or other external identity provider to sign in. Most external users fall into this category.	External member Uses an external account to authenticate but has member-level access in your organization. Common scenario in multi-tenant organizations.
	Internal 	Internal guest Has an account in your Microsoft Entra ID directory but only guest-level access in your organization. This is often a legacy user created before the availability of Microsoft Entra B2B.	Internal member Has an account in your Microsoft Entra ID directory and member-level access in your organization. Generally considered employees of your organization.

Internal member: These users are typically considered employees of your organization. The user authenticates internally via their organization's Microsoft Entra ID, and the user object created in the resource Microsoft Entra directory has a UserType of Member.

External guest: External users or guests, including consultants, vendors, and partners, typically fall into this category. The user authenticates using an external Microsoft Entra account or an external identity provider (such as a social identity), and their user object has a UserType of Guest.

External member: This scenario is common in organizations consisting of multiple tenants. For example, if the Contoso and Fabrikam Microsoft Entra tenants are within one large organization, Contoso users can be configured in the Fabrikam Microsoft Entra directory to authenticate with their Contoso account (external to

Fabrikam) but have a UserType of Member, enabling member-level access to Fabrikam's resources.

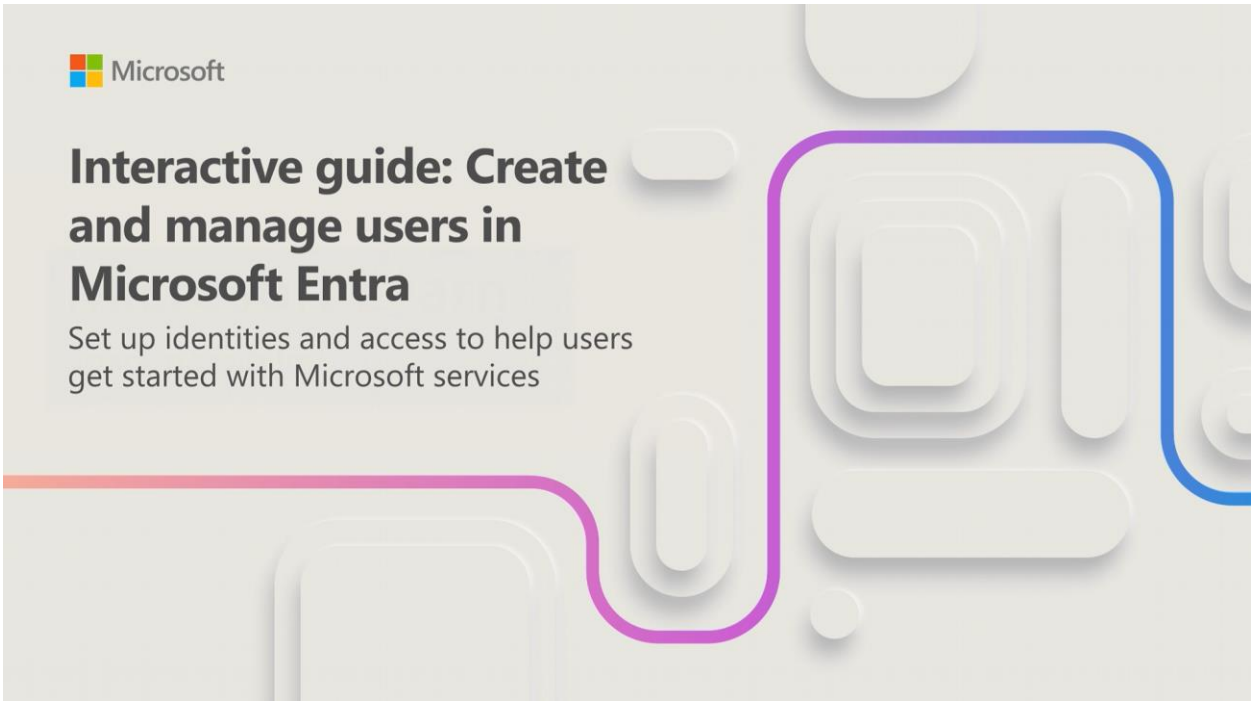
Internal guest: This scenario exists when organizations set up internal Microsoft Entra accounts for external users such as distributors or vendors, but designate them as guests by setting the user object UserType to Guest. This is considered a legacy scenario, as it's now more common to use B2B collaboration where users can use their own credentials.

External guests and external members are B2B collaboration users that fall under external identities in Microsoft Entra ID, described in the subsequent unit.

Interactive guide: Create a user in Microsoft Entra ID

In this interactive guide, which takes approximately 10 minutes to complete, you create and manage a user in Microsoft Entra ID.

Select the image below to get started.



Workload identities

A workload identity is an identity you assign to a software workload to enable it to authenticate to and access other services and resources.

Securing workload identities is important because a software workload may deal with multiple credentials to access different resources, and those credentials need to be stored securely. It's also hard to track when a workload identity is created or when it should be revoked. Microsoft Entra Workload ID helps resolve these issues.

In Microsoft Entra, workload identities are applications, service principals, and managed identities.

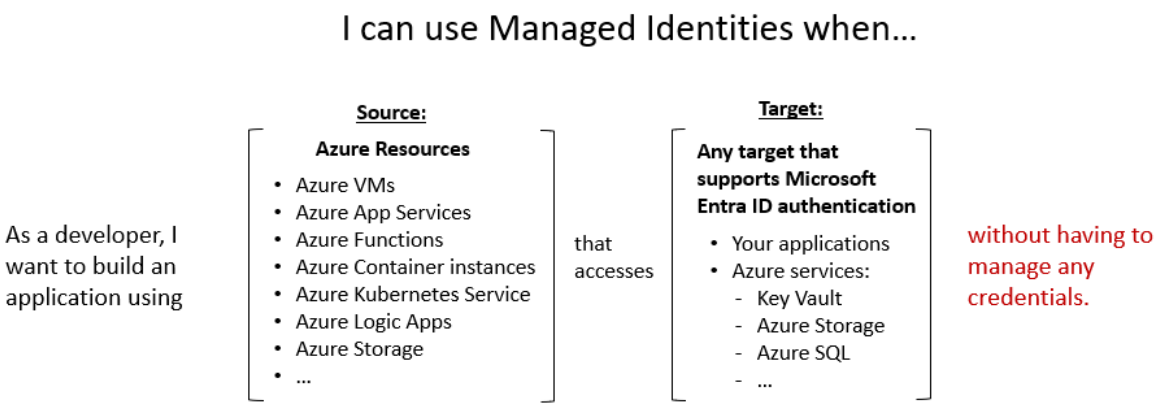
Applications and service principals

A service principal is essentially, an identity for an application. For an application to delegate its identity and access functions to Microsoft Entra ID, the application must first be registered with Microsoft Entra ID to enable its integration. Once an application is registered, a service principal is created in each Microsoft Entra tenant where the application is used. The service principal enables core features such as authentication and authorization of the application to resources that are secured by the Microsoft Entra tenant.

For service principals to access resources, application developers must manage and protect the credentials. Managed identities help offload that responsibility from developers.

Managed identities

Managed identities are a type of service principal. Managed identities are automatically managed in Microsoft Entra ID and eliminate the need for developers to manage credentials. Managed identities provide an identity for applications to use when connecting to Azure resources that support Microsoft Entra authentication and can be used without any extra cost.



There are two types of managed identities: system-assigned and user-assigned.

> **System-assigned**. Some Azure resources, such as virtual machines, allow you to enable a managed identity directly on the resource. When you enable a system-assigned managed identity, an identity is created in Microsoft Entra that's tied to the lifecycle of that Azure resource. When the resource is deleted, Azure automatically deletes the identity for you.
>
> **User-assigned**. You may also create a managed identity as a standalone Azure resource. Once you create a user-assigned managed identity, you can assign it to one or more instances of an Azure service. With user-assigned managed identities, the identity is managed separately from the resources that use it. Deleting the resources that use the user-assigned managed identity doesn't delete the identity; it must be explicitly deleted.

Agent identities

As AI agents become more prevalent in organizations, securing their access to resources is critical. Microsoft Entra Agent ID extends identity and access management capabilities to AI agents by providing purpose-built agent identities. These are specialized identities in Microsoft Entra, distinct from traditional workload identities, that enable organizations to register agents, enforce conditional access policies based on agent risk, and govern agent lifecycles with designated owners and sponsors for accountability. Agent identities support both attended scenarios, where the agent acts on behalf of a

user, and unattended scenarios, where the agent operates autonomously. Microsoft Entra Agent ID is described in more detail in the next unit.

Device

A device is a piece of hardware, such as mobile devices, laptops, servers, or printers. A device identity gives administrators information they can use when making access or configuration decisions. Device identities can be set up in different ways in Microsoft Entra ID.

- **Microsoft Entra registered devices**. The goal of Microsoft Entra registered devices is to provide users with support for bring your own device (BYOD) or mobile device scenarios. In these scenarios, a user can access your organization's resources using a personal device.
- **Microsoft Entra joined**. A Microsoft Entra joined device is a device joined to Microsoft Entra ID through an organizational account, which is then used to sign in to the device. Microsoft Entra joined devices are generally owned by the organization.
- **Microsoft Entra hybrid joined devices**. Organizations with existing on-premises Active Directory implementations can benefit from the functionality provided by Microsoft Entra ID by implementing Microsoft Entra hybrid joined devices. These devices are joined to both your on-premises Active Directory and Microsoft Entra ID, and require an organizational account to sign in to the device.

Registering and joining devices to Microsoft Entra ID gives users Single Sign-on (SSO) to cloud-based resources and on-premises applications.

IT admins can use tools like Microsoft Intune to control how an organization's devices are used.

Groups

In Microsoft Entra ID, if you have several identities with the same access needs, you can create a group to give access permissions to all members, instead of assigning access individually. This aligns with the Zero Trust principle of limiting access to only those who need it.

There are two group types:

> Security: A security group is the most common type of group and it's used to manage user and device access to shared resources. For example, you may create a security group for a specific security policy such as self-service password reset or for use with a conditional access policy. Members of a security group can include users (including external users), devices, other groups, service principals, and agent identities.
>
> Microsoft 365: A Microsoft 365 group, which is also often referred to as a distribution group, is used for grouping users according to collaboration needs. For example, you can give members of the group access to a shared mailbox, calendar, files, SharePoint sites, and more. Members of a Microsoft 365 group can only include users, including users outside of your organization.

Groups can be configured to allow members to be assigned, that is manually selected, or they can be configured for dynamic membership. Dynamic membership uses rules to automatically add and remove identities.

Describe Microsoft Entra Agent ID

Completed 100 XP

As organizations deploy AI agents to automate tasks and enhance productivity, these agents need secure identities to authenticate and access resources, just like human users and traditional applications. Microsoft Entra Agent ID provides an identity and security framework designed specifically for AI agents operating in enterprise environments.

Why AI agents need dedicated identities

AI agents differ from traditional applications in important ways. They make dynamic decisions, adapt behavior based on context, and can operate autonomously. Unlike an application that executes predetermined logic, an AI agent might analyze data, take actions, and interact with other systems or agents on its own. These characteristics create unique security challenges:

Expanded attack surface. AI agents often interact with external systems, creating potential pathways for adversaries. Agents are also vulnerable to attacks like prompt injection that don't affect traditional applications.

Permission risks. Agents are often provisioned with broad permissions. Without proper controls, an agent might access more data or take more actions than necessary for its intended task.

Agent sprawl. Uncontrolled expansion of agents across an organization, without adequate visibility, management, or lifecycle controls, can lead to security and compliance risks. Agents created for temporary purposes may remain in production indefinitely, with permissions that are rarely reviewed.

These challenges make it important to distinguish AI agent identities from traditional user and workload identities, so organizations can apply the right level of governance.

How Microsoft Entra Agent ID works

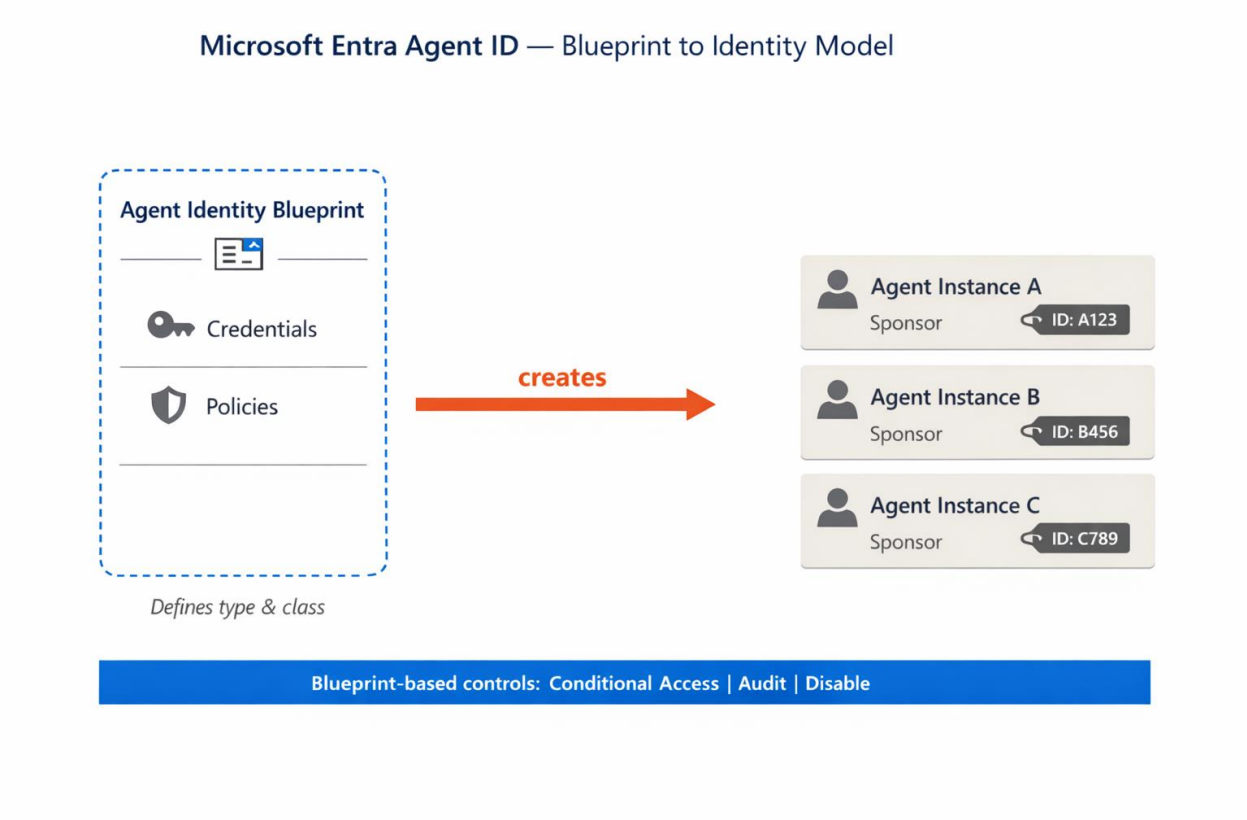
Microsoft Entra Agent ID is built on the Microsoft Entra ID platform and provides dedicated identity constructs for AI agents. The framework introduces two key concepts:

Agent identity blueprints serve as reusable templates that define a type or class of agent. A blueprint establishes agent classification, holds the credentials used to create agent instances, and enables administrators to apply policies to all agents of that type. For example, an organization might create a blueprint for "Sales Assistant Agent" that defines what permissions all sales assistant agents receive.

Agent identities are individual instances created from a blueprint. Each agent identity has a unique identifier in Microsoft Entra ID, a display name, and a sponsor, which is the human user or group accountable for the agent. Agent identities don't have their own credentials. Instead, they rely on the blueprint to acquire authentication tokens on their behalf.

This blueprint-to-identity model enables centralized management while providing the flexibility needed for diverse AI agent deployment scenarios. Administrators can apply conditional access policies, disable permissions, or audit agents at scale through blueprint-based controls.

Microsoft Entra Agent ID is platform-agnostic — it works with agents built on Microsoft and non-Microsoft platforms. Organizations can integrate third-party agents from platforms such as AWS Bedrock and n8n by using the Microsoft Entra Auth SDK or workload identity federation, giving every agent a governed identity regardless of where it was built.



Authentication scenarios

Agent identities support two key authentication patterns:

- **Attended (on-behalf-of)**. The agent operates on behalf of a human user, using delegated permissions that the user grants. The agent acts under the user's authority to access resources or APIs.
- **Unattended**. The agent acts under its own authority as an autonomous identity. It uses its own assigned roles and permissions to authenticate and operate independently without a user present.

Governance and security

Microsoft Entra Agent ID integrates with existing Microsoft Entra security capabilities to protect agent access:

- **Conditional access** enables policy-based access controls and risk-based authentication specifically for agents. Administrators can create policies that evaluate agent risk before granting access.
- **Identity protection** provides real-time risk detection and automated response for agent activities.
- **Identity governance** provides lifecycle management, including access assignment and compliance reporting for agent identities. Sponsors and owners maintain accountability throughout the agent's lifecycle.
- **Agent registry** provides centralized metadata management and secure agent discovery, helping organizations maintain visibility into all agents operating in their tenant.

Microsoft Entra ID also limits what agent identities can do. Agents are blocked from being granted many high-privilege roles or permissions, and users and administrators can't consent to powerful permissions for an agent. This design follows the principle of least privilege, minimizing the risk that an AI agent could escalate access or perform unexpected administrative actions.

Describe hybrid identity

Completed100 XP

While there's no denying the rapid pace at which organizations are moving their workloads to the cloud, many businesses, and corporations are still a mixture of on-premises and cloud applications. Regardless of where an application is hosted, users expect and require easy access. As such, there's need to have a single identity across these various applications.

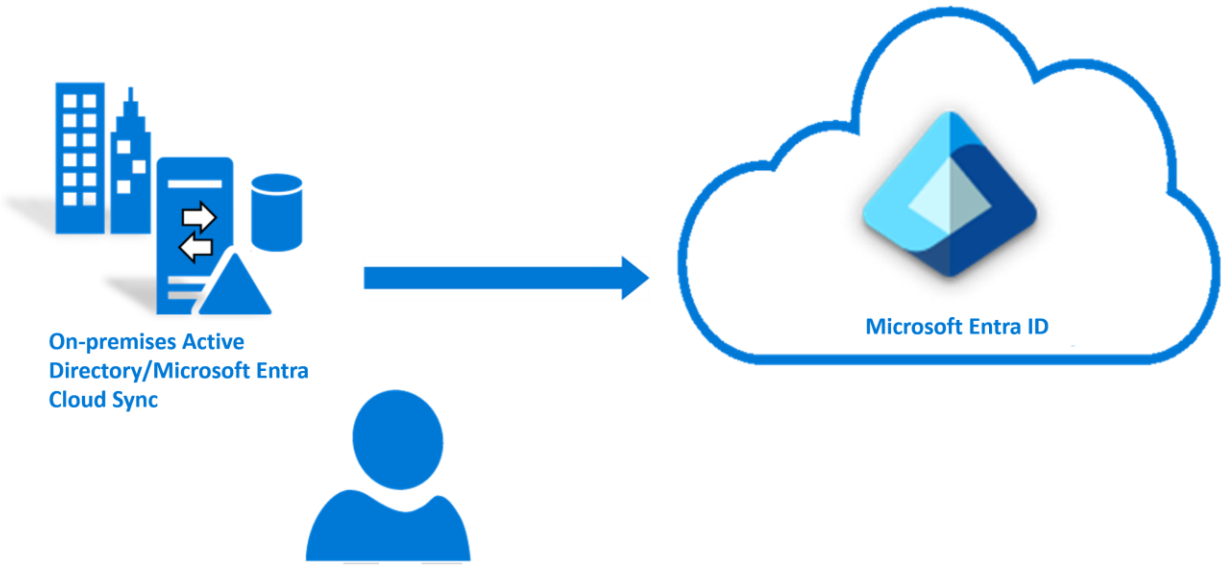
Microsoft's identity solutions span on-premises and cloud-based capabilities. These solutions create a common identity for authentication and authorization to all resources, regardless of location. We call this hybrid identity.

Hybrid identity is accomplished through provisioning and synchronization.

- Inter-directory provisioning is provisioning an identity between two different directory services systems. For a hybrid environment, the most common scenario for inter-directory provisioning is when a user already in Active Directory is provisioned into Microsoft Entra ID.
- Synchronization is responsible for making sure identity information for your on-premises users and groups is matching the cloud.

Microsoft Entra Cloud Sync is Microsoft's recommended synchronization tool for accomplishing hybrid identity. It uses a lightweight cloud provisioning agent that acts as a bridge between Microsoft Entra ID and Active Directory. An organization only needs to deploy the agent in their on-premises or IaaS-hosted environment. The provisioning configuration is stored in Microsoft Entra ID and managed as part of the service. Cloud Sync offers simplified deployment, high availability through multiple agents, and support for disconnected multi-forest environments.

Microsoft Entra Connect Sync is an earlier on-premises synchronization tool that's being replaced by Cloud Sync. New identity and synchronization features are being developed primarily on the Cloud Sync platform, making it the recommended path forward for new deployments.



The Microsoft Entra Cloud Sync provisioning agent uses the System for Cross-domain Identity Management (SCIM) specification with Microsoft Entra ID to provision and deprovision users and groups. The SCIM specification is a standard that is used to automate the exchanging of user or group identity information between identity domains such as Microsoft Entra ID and is becoming the de facto standard for provisioning.

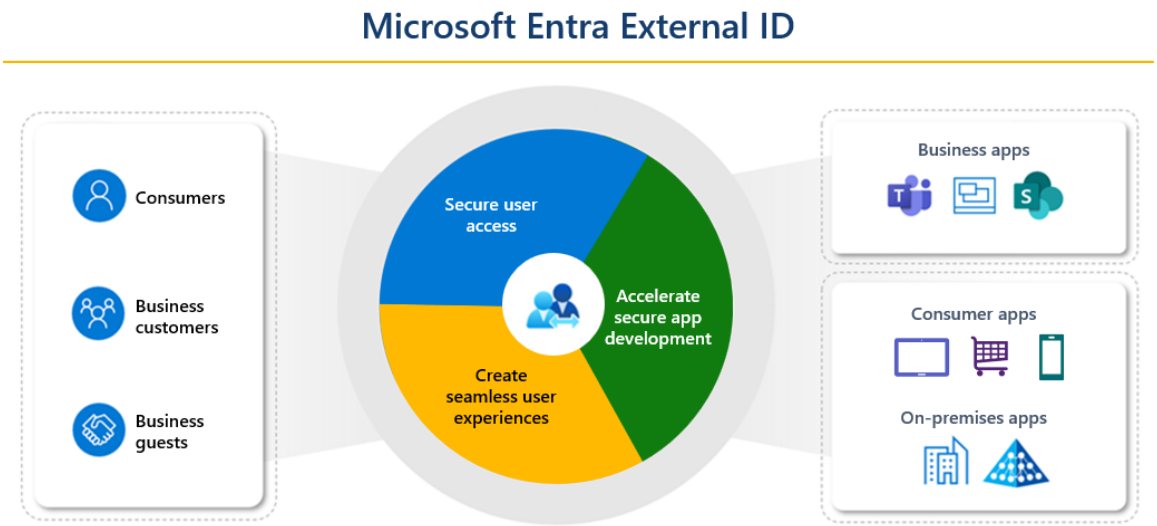
Describe external identities

Completed 100 XP

Today's world is about collaboration, working with people both inside and outside of your organization. That means you'll sometimes need to provide access to your organization's applications or data to external users.

Microsoft Entra External ID combines powerful solutions for working with people outside of your organization. With External ID capabilities, you can allow external identities to securely access your apps and resources. Whether you're working with

external partners, consumers, or business customers, users can bring their own identities. These identities can range from corporate or government-issued accounts to social identity providers like Google or Facebook.



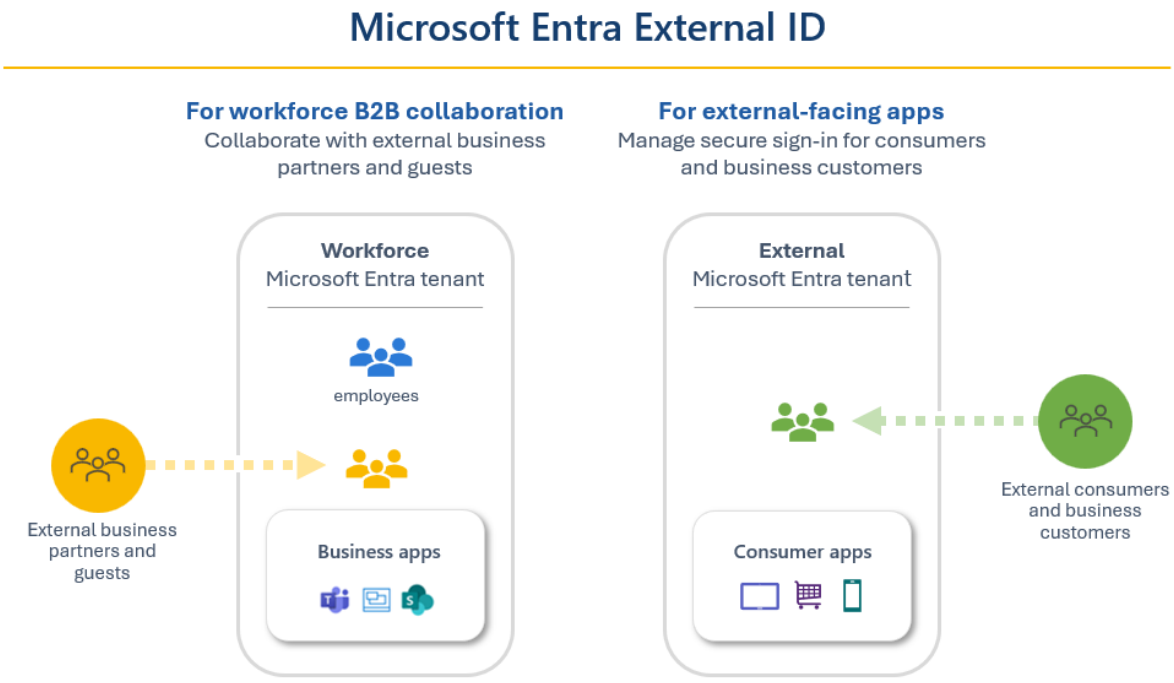
Microsoft Entra External ID addresses the scenarios that are encountered when it comes to working with external users.

- Collaborate with business guests
- Secure your apps for consumers and business customers

Also, each of these scenarios suggests a different approach for how an organization configures their Microsoft Entra ID tenant.

There are two ways to configure a tenant, depending on how the organization intends to use the tenant and the resources they want to manage:

- A workforce tenant configuration is for your employees, internal business apps, and other organizational resources. You can invite external business partners and guests to your workforce tenant.
- An external tenant configuration is used exclusively for External ID scenarios where you want to publish apps to consumers or business customers.



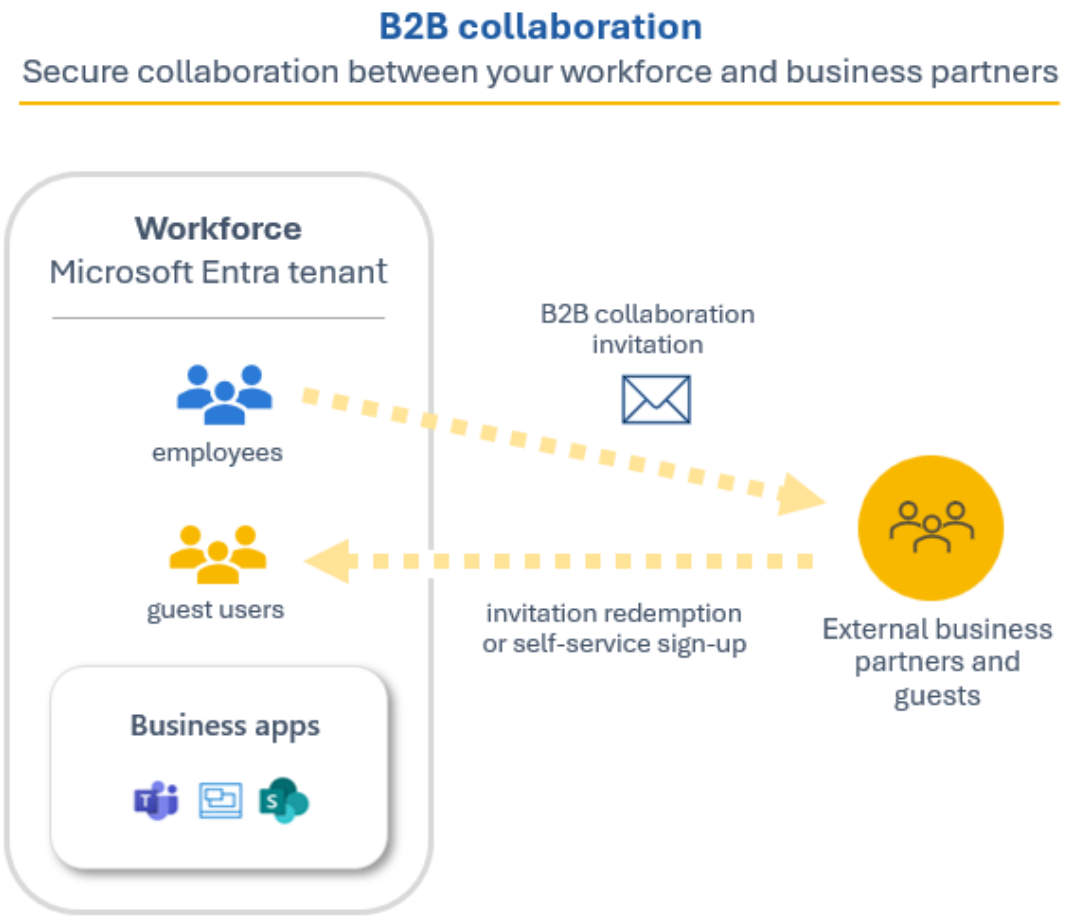
Collaborate with business guests

If you want to enable your employees to collaborate with business partners and guests, use External ID for B2B collaboration.

External ID B2B collaboration allows your workforce to collaborate with external business partners.

Using your workforce tenant, you can use B2B collaboration to share your company's applications and services with guests, while maintaining control over your own corporate data. You can invite anyone to sign in to your Microsoft Entra organization using their own credentials so they can access the apps and resources you want to share with them.

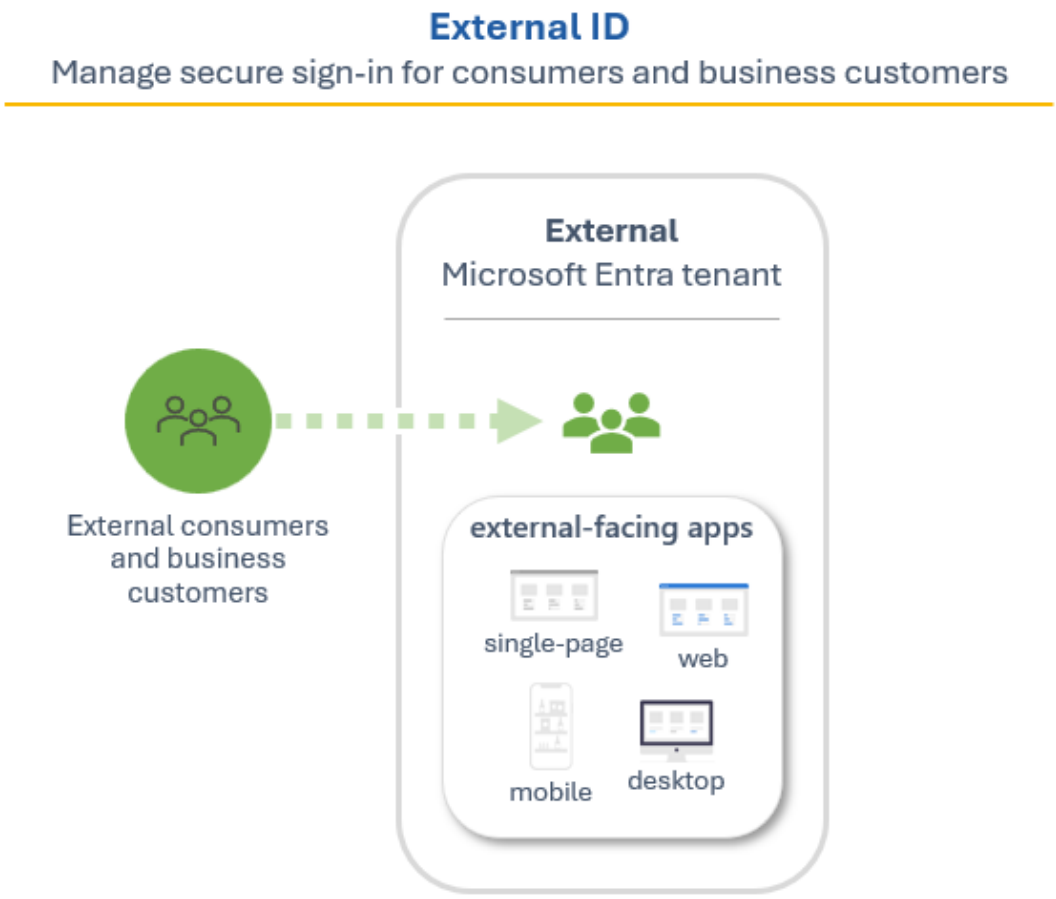
Use B2B collaboration when you need to let business guests access your Office 365 apps, software-as-a-service (SaaS) apps, and line-of-business applications. There are no credentials associated with business guests. Instead, they authenticate with their home organization or identity provider, and then your organization checks the user’s eligibility for guest collaboration.



Secure your apps for consumers and business customers

If you're an organization or a developer creating consumer apps, use External ID to quickly add authentication and customer identity and access management (CIAM) to your application.

Microsoft Entra External ID includes Microsoft's customer identity and access management (CIAM) solution that includes features like self-service registration, personalized sign-in experiences including single sign-on (SSO) with social and enterprise identities, and customer account management. Because these CIAM capabilities are built into Microsoft Entra ID, you also benefit from platform features like enhanced security, compliance, and scalability.



B2B direct connect

In addition to B2B collaboration, External ID supports B2B direct connect, which creates a mutual trust relationship between two Microsoft Entra organizations. B2B direct connect currently enables the Teams Connect shared channels feature, allowing users from external organizations to seamlessly collaborate for chat, calls, and file sharing. Unlike B2B collaboration users, B2B direct connect users aren't added as guests in your directory; instead, they access shared resources directly from their home tenant.

Module assessment

Completed200 XP

Choose the best response for each of the questions below.

Check your knowledge

1. A project manager is setting up a new project that includes members from different departments. The project manager wants to ensure that project team members can collaborate and have shared access to a mailbox, calendar, files, and the project's SharePoint site. Which Microsoft Entra feature can the project manager use to accommodate this requirement, without having to involve an administrator?

A managed identity
A Microsoft 365 group
A security group

2. A developer wants an application to connect to Azure resources that support Microsoft Entra authentication, without having to manage any credentials and without incurring any extra cost. Which option best describes the identity type of the application?

Service principal
Managed identity
Hybrid identity

3. An organization needs to synchronize identities between its on-premises Active Directory and Microsoft Entra ID. Which synchronization tool does Microsoft recommend for new deployments?

Microsoft Entra Connect Sync
Microsoft Entra Cloud Sync
Active Directory Federation Services (AD FS)

4. A company wants to collaborate with a partner organization and give partner employees access to specific applications. Partner employees should authenticate using their own organization's credentials. Which Microsoft Entra External ID feature should the company use?

B2B collaboration

Customer identity and access management (CIAM)
B2B direct connect

5. An organization is deploying AI agents that need to securely authenticate and access resources in Microsoft Entra ID. The organization wants to enforce conditional access policies based on agent risk and govern agent lifecycles. Which Microsoft Entra capability should the organization use?

Microsoft Entra Workload ID
Managed identities
Microsoft Entra Agent ID